formulation and policy implementation yields clean thinking in policy formulation. This requires moving towards a unified Internal Revenue Service which fuses the Central Board of Direct Taxes (CBDT) and the Central Board of Excise and Customs (CBEC), and delivers a professional tax administration with political independence, while the formulation of tax policy (leading up to the drafting of the Finance Act) takes place in the Ministry of Finance.

## *Hygiene in constructing agencies*

*The rule of law is the most important infrastructure of all.*

Three elements of wisdom are useful in designing sound agency arrangements. The separation of powers doctrine argues that it is better to separate legislative, executive and judicial powers across three distinct organizations. To the extent that more than one of these is brought into a single organization, there is concentration of power, which inevitably leads to abuse of power.

We in India are at the early stages of learning how to construct state capacity. We should systematically use separation of powers as a tool for inducing greater performance. Conversely, where separation of powers is absent (e.g., at a regulator like SEBI), we should recognize that it will now be *more difficult* to achieve state capacity, and greater effort will need to be made on other accountability mechanisms, in order to obtain performance.

The second element of wisdom is about the rule of law. Fair play by the state and its agents is a moral and political objective. However, the rule of law is also a tool for achieving state capacity. When there are failures on the rule of law, this places arbitrary power in the hands of officials and politicians. This leads to abuse of power and low state capacity.

The third element of wisdom is about the powers of an agency. At the outset, it is important to give low powers to an agency. Government agencies should have low levels of direct and indirect coercive power. This